KAIZEN CONSULTING

Sportswear & Footwear E-Commerce: Where We Are Losing and What We Do About It

Executive Stakeholder Deck | Operations · CX · Product Quality · Returns

Marcus Vale | Communicator, Kaizen | Deliverable 4 of 6

CLOSED DEMO | Based on public evidence + synthetic demo data | Not for external distribution

Agenda

What we will cover in this session

01

The Business Problem

Why this matters now: the cost of unaddressed product failures in sportswear & footwear e-commerce

02

What the Evidence Shows

Key findings from public review analysis and synthetic transaction data (4,200 records)

03

Top 4 Priority Recommendations

The four highest-impact, highest-confidence actions available today

04

Expected Business Outcomes

Conservative return reduction and rating uplift estimates with full assumptions disclosed

05

Your Role: Team Action Plan

Specific talking points and next steps for Operations, CX, Product Quality, and Returns

06

Governance & Data Transparency

What is real evidence, what is synthetic, what is estimated — and why that matters

The Business Problem

Preventable failures are costing revenue, ratings, and customer loyalty

The core problem: In sportswear and footwear e-commerce, an estimated 30% of transactions result in a return. The majority of these returns are preventable — caused by fixable product attributes, inaccurate product information, or poor service processes.

30%

of footwear transactions returned

REAL EXTERNAL EVIDENCE — Statista 2023

38-42%

of returns caused by size/fit failure

REAL EXTERNAL EVIDENCE — McKinsey 2023

18-22%

caused by comfort issues

REAL EXTERNAL EVIDENCE — McKinsey 2023

12-16%

caused by product not as described

REAL EXTERNAL EVIDENCE — Amazon/Trustpilot

WHAT THIS MEANS FOR YOUR BUSINESS (HEURISTIC ESTIMATION)

Based on the synthetic demo dataset (4,200 transactions, EUR ~1.4M simulated gross revenue), every 1 percentage point reduction in return rate represents approximately EUR 14,000 in recovered revenue.
All estimates use conservative scenario. Assumptions: average unit price EUR 98; 30.1% baseline return rate. These are heuristic estimates, not forecasts.

HEURISTIC ESTIMATION | Conservative Scenario | Not a financial forecast

What the Evidence Shows — Top Findings

Grounded in public review evidence and synthetic transaction analysis

FINDING 1

Size accuracy is the single largest return driver

ISS-01 (size accuracy) accounts for an estimated 38-42% of returns across all brands in the synthetic dataset. Nike Air Zoom Pegasus and Adidas Ultraboost show the highest concentration of size-related returns.

REAL EXTERNAL EVIDENCE (SRC-01, SRC-05) + SYNTHETIC DEMO DATA

FINDING 2

Adidas Ultraboost sole durability is the highest-revenue-at-risk quality defect

ISS-07 (sole durability) is the top durability-related return reason for Adidas, linked to a simulated EUR 24,000+ in return revenue in the synthetic dataset. Requires supplier QA escalation.

REAL EXTERNAL EVIDENCE (SRC-01, SRC-02) + SYNTHETIC DEMO DATA + HEURISTIC ESTIMATION

FINDING 3

Under Armour has the highest return friction rate in the dataset

38% of Under Armour returns in the synthetic dataset are flagged as high-friction (refund > 10 days). This is the highest of any brand and is linked to the app-dependent return process (ISS-13).

SYNTHETIC DEMO DATA (pattern inferred from REAL EXTERNAL EVIDENCE SRC-02, SRC-04)

FINDING 4

ASICS Gel-Kayano PDP mismatch is the highest-confidence, lowest-effort fix

ISS-10 (description mismatch) for ASICS Gel-Kayano is the recommendation with the highest confidence-to-effort ratio: PDP text update can be executed within 2-4 weeks and is expected to reduce mismatch returns by 12-18%.

REAL EXTERNAL EVIDENCE (SRC-01, SRC-02) + HEURISTIC ESTIMATION

Priority Recommendations — Top 4 Actions

Ranked by confidence, return impact, and implementation feasibility

REC-01

Nike Air Zoom Pegasus | Size Accuracy

Action: Review Sizing Guide + Update PDP

Timeline: 2-4 weeks Confidence: Medium Scenario: Conservative

IMPACT (HEURISTIC)

Est. -15% to -25% fit returns (conservative: -15%)

REC-02

Adidas Ultraboost 23 | Sole Durability

Action: Assign to Product Quality + Escalate to Brand Manager

Timeline: 8-16 weeks Confidence: Medium Scenario: Conservative

IMPACT (HEURISTIC)

Est. -10% to -20% durability returns (conservative: -10%)

REC-03

Under Armour HOVR Phantom 3 | Return Friction

Action: Send to Returns Team + Create Improvement Ticket

Timeline: 6-10 weeks Confidence: Low-Medium Scenario: Conservative

IMPACT (HEURISTIC)

Est. 10-15% reduction in silent churn (conservative: 10%)

REC-05

ASICS Gel-Kayano 30 | Description Mismatch

Action: Update Product Detail Page

Timeline: 2-4 weeks Confidence: Medium-High Scenario: Conservative

IMPACT (HEURISTIC)

Est. -12% to -22% description-mismatch returns (conservative: -12%)

All impact estimates are HEURISTIC ESTIMATIONS using a conservative scenario. They are directional, not causal forecasts. Assumptions are fully disclosed in the Maker Excel and HTML Evidence Panel.

Expected Business Outcomes

What implementing these recommendations could deliver — with full assumptions

BASIS: 4,200 synthetic transactions | EUR ~1.4M simulated gross revenue | 30.1% return rate | ~1,263 synthetic returns | Conservative scenario only

Return Rate Reduction

Conservative: -3 to -5 percentage points across priority products

-3pp = approx 126 fewer returns | -5pp = approx 210 fewer returns

HEURISTIC ESTIMATION | Conservative | Not a financial forecast

Revenue Recovery

Conservative: EUR 42,000 – EUR 70,000 per year (synthetic baseline)

Based on EUR 14,000 per 1pp return rate reduction in synthetic dataset

HEURISTIC ESTIMATION | Conservative | Synthetic baseline

Rating Uplift

Conservative: +0.1 to +0.2 average star rating improvement

Based on review correlation between identified issues and low-star patterns

HEURISTIC ESTIMATION | Low-Medium Confidence | Not causal

Customer Retention

Conservative: 10-15% reduction in silent churn from return friction fix (UA)

Silent churn estimate derived from CX friction benchmarks; not directly measurable

HEURISTIC ESTIMATION | Low Confidence | Structural assumption

CRITICAL NOTE: All outcome estimates are heuristic and scenario-based. They assume implementation quality, no external market disruptions, and are not audited financial projections. Human review is required before any of these figures are used in planning.

Team Talking Points & Next Steps

What each team needs to hear and do

OPERATIONS

The overall return rate is 30.1% (synthetic baseline, aligned to industry benchmark). Size accuracy is the single largest driver at 38-42% of returns. Priority actions: REC-01 (Nike sizing), REC-02 (Adidas QA). Expected conservative return rate reduction of 3-5pp within 3-6 months if both recommendations are implemented.

NEXT STEP: Approve sizing guide review | Approve supplier QA escalation

PROD QUALITY

ISS-07 (Adidas sole delamination) and ISS-06 (Nike stitching) are the two highest-severity durability failures in the synthetic dataset. ISS-10 (ASICS PDP mismatch) is the highest-confidence, lowest-effort fix. Priority actions: REC-02, REC-06, REC-05. QA should open supplier review for Adidas Ultraboost immediately.

NEXT STEP: Open supplier review | Create QA tickets for ISS-07 ISS-06

CX TEAM

Under Armour HOVR Phantom 3 has the highest return friction rate (38%). Customers are experiencing 10+ day refund delays. Priority action: REC-03. Simplifying the return journey is expected to recover 10-15% of silent churn (conservative). Immediate win: create improvement ticket for Returns team.

NEXT STEP: Create REC-03 improvement ticket | Review UA return flow

RETURNS

Return friction is both a direct operational cost and a hidden churn driver. 38% of Under Armour returns exceed 10-day refund SLA. The self-service return portal improvement (REC-03) is the highest-impact CX process fix available. Returns team owns execution; CX team owns messaging.

NEXT STEP: Audit refund SLA compliance | Propose portal improvement roadmap

Rollout Messaging & Implementation Sequence

How to introduce these recommendations across the organisation

PHASE 1 | Weeks 1-4

Quick wins: PDP updates and sizing guide review

- REC-01: Nike Air Zoom Pegasus — Review Sizing Guide + Update PDP (2-4 weeks, Medium confidence)
- REC-05: ASICS Gel-Kayano 30 — Update Product Detail Page (2-4 weeks, Medium-High confidence)
- REC-07: Adidas Tiro Shorts — Photography + color accuracy update (2-4 weeks, Medium-High confidence)

PHASE 2 | Weeks 5-12

Process and CX fixes requiring coordination

- REC-03: Under Armour HOVR — Returns process improvement ticket + portal redesign (6-10 weeks, Low-Medium)
- REC-06: Nike Pro Tights — Material spec review + care label accuracy (6-12 weeks, Medium)
- REC-08: Brooks Ghost 15 — Inventory escalation for half-size gaps (8-14 weeks, Low)

PHASE 3 | Weeks 8-20

Supplier QA and structural quality fixes

- REC-02: Adidas Ultraboost 23 — Supplier QA escalation + sole specification review (8-16 weeks, Medium)
- REC-04: New Balance 1080v13 — Upper material breathability review (12-20 weeks, Low)

All timeline estimates are indicative only. Final sequencing requires Operations sign-off. HEURISTIC ESTIMATION — not a project management plan.

Governance & Data Transparency

What is real, what is synthetic, what is estimated — and why that distinction matters

REAL EXTERNAL EVIDENCE

Public product reviews (Amazon, Trustpilot), public forums (Reddit), published research reports (McKinsey, Statista), government data (CPSC). These are genuine observations from real sources. They are traceable and labeled throughout the platform.

SYNTHETIC DEMO DATA

4,200 transactions and ~1,263 returns generated algorithmically for this closed demo. They are NOT real company data. They are plausibility-grounded, meaning patterns reflect inferred public evidence. They must NEVER be presented as real business performance.

HEURISTIC ESTIMATION

Impact estimates derived by applying industry benchmarks to the synthetic dataset. All estimates show conservative, base, and aggressive scenarios. They are directional hypotheses, not causal forecasts. Confidence levels are stated explicitly.

INFERENCE

Conclusions drawn from patterns across multiple evidence sources where no single source provides direct proof. Labeled explicitly in the platform. Require human validation before operational use.

EU AI ACT & GDPR ALIGNMENT: This platform is designed for transparency, human oversight, purpose limitation, and non-deceptive UX. No automated operational action is permitted without explicit human approval. All AI-generated analysis is labeled. Personal data is not used in this demo.

Handoff Packet — Marcus Vale to Sofia Laurent (Manager)

Full handoff for final QA and reconciliation

FROM	Marcus Vale — Communicator, Kaizen
TO	Sofia Laurent — Manager, Kaizen
COMPLETED	10-slide executive stakeholder deck. Agenda; business problem with statistics; 4 top findings; 4 priority recommendations with impact estimates; expected business outcomes; team talking points (4 teams); 3-phase rollout; governance and data transparency. All slides labeled per truthfulness protocol.
TRUTH LABELS	All statistics labeled REAL EXTERNAL EVIDENCE with source IDs. All volume/revenue figures labeled SYNTHETIC DEMO DATA. All impact estimates labeled HEURISTIC ESTIMATION with scenario type. All reasoning labeled INFERENCE where applicable.
UNRESOLVED	(1) Exact synthetic return revenue figures not independently verified against Maker Excel — Manager must cross-check. (2) Phase timeline estimates are indicative; Manager should confirm alignment with Maker's recommendation logic tab. (3) Team ownership assignments need operational sign-off.
CONFIDENCE	High confidence on narrative structure and governance framing. Medium confidence on brand-level severity ordering (derived from synthetic data). Low-Medium confidence on heuristic impact estimates — conservative scenario used throughout.
INSTRUCTIONS	Manager: please verify (1) all impact numbers match Maker Excel recommendation logic tab, (2) all evidence labels are consistent with Researcher Excel, (3) all brand mentions match brand-product-attribute map, (4) no causal language has crept into impact estimates. Correct any inconsistencies found.